

I volunteer as a financial coach. Can you review the basics?

The basic coaching steps are as follows.

1. *Determine the actual spending level at present.* Rarely does a couple or a single person in debt know exactly how much it costs them to live each month. If they did, most already would have taken remedial action themselves. There are a variety of methods to determine how much they're presently spending. I personally begin by asking them by category how much they believe they spend each month.

Usually they have an estimated amount of spending, but rarely is it within 15 percent of the actual amount. I will add a fixed percentage for many incidental expenses such as clothing, car repairs, and vacations. Also, I know from experience that if they have never lived by a budget, their miscellaneous spending may be as much as 50 percent higher than they estimate.

2. *Have those you are coaching keep a record of every expenditure they have for the next month.* In rare cases the people have been writing checks or recording uses of their debit cards for every purchase, and their spending record can be determined from their checking account records, but only rarely. As you would expect, most persons in debt resist writing down every single purchase. I try to emphasize that this procedure is only necessary for one month—not for the rest of their lives. But it does require carrying a pocket notebook (and if it's a married couple, each must do this) for a month and writing down every penny they spend.

Once there is a clear picture of the actual monthly spending, the next step is to develop a budget that will provide for all of the regular household expenses to be paid, ideally with some money left over to pay the creditors. As was discussed previously, this may require some adjustments in the living expenses, especially in the areas of housing and auto.

3. *Have those you are coaching maintain the budget each month.* There are no quick fixes for most people who experience financial problems. As our examination of the finances of several couples